

Ellan Vannin Wealth Management

Sovereign Infrastructure Investment Memorandum

The Great British Data Infrastructure Programme

A National Data Centre Investment Strategy for the United Kingdom

Creating Britain's Sovereign Digital Infrastructure Through Long-Term
Institutional Capital

Executive Summary

Ellan Vannin Wealth Management (EVWM) proposes the establishment of:

The Great British Data Infrastructure Fund (GBDIF)

A sovereign-style investment vehicle dedicated to financing, developing and operating a nationwide portfolio of hyperscale and regional data centres.

The investment philosophy is straightforward:

In the twenty-first century, data centres are as strategically important as ports, railways and electricity networks.

Just as Britain invested in canals during the Industrial Revolution and railways during the Victorian era, the digital economy requires modern computing infrastructure.

The UK Government has designated large data centres as **Critical National Infrastructure**, recognising their importance to public services, AI, finance and national security. Recent legislation is also bringing qualifying data centres into the UK's essential-services regulatory framework.

Investment Thesis

Britain's future economic competitiveness will increasingly depend upon five strategic assets:

- Energy
- Transport
- Water
- Communications
- Computing

The final category—computing—is currently underbuilt.

Artificial intelligence, financial services, life sciences, defence, cloud computing and advanced manufacturing all require significant domestic computing capacity.

Demand for UK data-centre capacity continues to outstrip new supply, while government forecasts indicate substantial growth in required capacity over the coming decade.

Strategic Objective

Create a nationwide network of sovereign-grade digital infrastructure that:

- supports British AI companies
 - attracts global cloud providers
 - strengthens cyber resilience
 - provides long-term infrastructure returns
 - stimulates regional economic development
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Programme Structure

Great British Data Infrastructure Fund

Initial Fund Size

£8 billion

Investment period:

15 years

Capital Structure

Investor	Investment
EVWM Sovereign Capital	£1.5bn
UK Pension Funds	£3.0bn
Insurance Companies	£1.5bn
Infrastructure Investors	£1.0bn
Government PPP Capital	£1.0bn

Investment Philosophy

Unlike venture capital, this is an infrastructure strategy.

Income derives from:

- long-term leases
- cloud hosting agreements
- AI compute contracts
- government services
- disaster recovery
- colocation

These typically produce predictable, long-duration cash flows.

National Roll-Out Strategy

Rather than concentrating investment solely around London, the programme would establish regional digital infrastructure across Britain.

Tier One

National AI Campuses

Large hyperscale facilities near major power and fibre infrastructure.

Potential locations:

- Greater Manchester
- West Midlands
- South Wales
- North East England
- Central Scotland

These regions offer land availability and opportunities to diversify the UK's digital infrastructure beyond the South East.

Tier Two

Regional Data Centres

Facilities serving:

- NHS trusts
- universities
- manufacturers
- local authorities
- financial firms

Potential locations include:

- Leeds
 - Sheffield
 - Bristol
 - Nottingham
 - Newcastle
 - Belfast
 - Glasgow
 - Cardiff
 - Plymouth
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Tier Three

Edge Computing Network

Smaller facilities positioned close to users for:

- autonomous vehicles
- smart manufacturing
- defence
- logistics
- emergency services

Target:

50–100 regional edge facilities.

Strategic Infrastructure Principles

Every new campus should include:

- dual electricity feeds
- multiple fibre routes
- battery energy storage

- backup generation
- high cyber-security standards
- modular expansion capability

Where practical, facilities should also recover waste heat for nearby housing, commercial developments or district heating networks. Research indicates that integrating data centres with local energy systems can significantly improve efficiency.

The Digital Industrial Estate

Each hyperscale campus should anchor a wider technology park including:

- AI laboratories
- semiconductor design firms
- cloud service providers
- cyber-security companies
- robotics businesses
- engineering consultancies

The objective is to build digital ecosystems rather than isolated buildings.

National Energy Strategy

Reliable power is the principal constraint on UK data-centre expansion.

Each campus should therefore be paired with:

- battery storage
- long-term renewable electricity contracts
- on-site substations
- flexible backup generation where required

Government has already prioritised strategic data-centre projects in electricity grid reforms because connection queues have become a major barrier to investment.

Water Strategy

Cooling water availability is becoming a strategic issue.

Future campuses should therefore prioritise:

- closed-loop cooling systems
- recycled water where feasible
- air cooling in appropriate climates
- site selection in areas with sufficient water resources

Recent industry analysis warns that water availability must become an integral part of UK data-centre planning.

Economic Impact

Investment

£8 billion

Construction Employment

Approximately:

40,000 job-years

Permanent Employment

Direct:

8,000

Indirect:

25,000

Although modern data centres employ relatively few staff per facility, they support far larger digital ecosystems in cloud computing, AI, finance and advanced industry.

Revenue Model

The fund would generate long-term income through:

- hyperscale leases
- cloud colocation
- AI compute hosting
- managed infrastructure
- government contracts
- fibre interconnection
- energy services

Typical customer contracts would range from 10 to 20 years.

Financial Performance

Target Holding Period

20–40 years

Target Occupancy

95%

Target Internal Rate of Return (IRR)

Asset Type	Target IRR
Core hyperscale campuses	8–10%
Regional data centres	9–11%
Edge computing facilities	10–12%
Blended portfolio target	9–10%

These return targets are broadly consistent with long-life infrastructure assets that benefit from contracted revenues and institutional ownership.

National Economic Benefits

The programme would:

- improve Britain's AI capability
- support financial services
- strengthen digital sovereignty
- encourage regional investment
- expand cloud infrastructure
- improve cyber resilience
- attract international technology investment

Rather than viewing data centres as isolated technology projects, the programme treats them as foundational infrastructure supporting almost every sector of the economy.

Relationship to the EVWM National Investment Strategy

The Great British Data Infrastructure Programme integrates with other EVWM proposals:

- nuclear and renewable energy investments to provide reliable electricity
- upgraded rail corridors for construction logistics
- port developments for importing equipment
- industrial parks for technology manufacturing
- university innovation districts supplying skilled workers

Together these projects create a nationally distributed digital-industrial network.

Exit Strategy

The fund is designed as a **permanent capital vehicle**, not a speculative development fund.

As campuses mature, EVWM would retain ownership while recycling cash flows into:

- new AI campuses
- quantum computing facilities
- additional regional edge infrastructure
- digital research parks

The objective is to create a self-sustaining infrastructure platform rather than build-and-sell developments.

Final Recommendation

Ellan Vannin Wealth Management recommends establishing the:

Great British Data Infrastructure Fund

An **£8 billion sovereign-style PPP** dedicated to building Britain's digital backbone.

The central investment principle is:

In the twenty-first century, compute capacity is productive capital. Nations that own reliable, secure and scalable digital infrastructure will enjoy higher productivity, stronger technological sovereignty and more resilient long-term economic growth.